

		<u>3rd, 4th, 5th and 6th causes of action (common counts)</u>: These claims are pleaded as an alternative way of seeking the same relief demanded in the breach of contract claims, and survive for the same reasons. (See <i>McBride v. Boughton</i> (2004) 123 Cal.App.4th 379, 394; see also 4AC ¶¶ 30-41.) <u>7th cause of action (unjust enrichment)</u>: Unjust enrichment can be asserted as a claim. (<i>Lectrodryer v. SeoulBank</i> (2000) 77 Cal. App. 4th 723, 726; compare <i>Melchior v. New Line Productions, Inc.</i> (2003) 106 Cal.App.4th 779, 793.) The complaint states facts sufficient to constitute this cause of action, which is pleaded as an equitable claim and alternative to the other causes of action. (<i>Peterson v. Cellco Partnership</i> (2008) 164 Cal.App.4th 1583, 1593 [elements]; see also 4AC ¶¶ 43-46.) The CMC is continued to 11/16/26 at 8:45am in Dept. C24. Plaintiff shall give notice.
315	<i>Savalia vs. Blue Shield of California Life & Health Insurance Company</i>	The demurrer of defendant California Physicians' Service dba Blue Shield of California (erroneously sued as Blue Shield of California Life & Health Insurance Company) (Defendant) directed to the first amended complaint (FAC) of plaintiff Nirav B. Savalia dba Savalia Plastic Surgery (Plaintiff) is OVERRULED in part and SUSTAINED in part with 20 days leave to amend. <u>The No Surprises Act (NSA)</u> Defendant contends all of Plaintiff's causes of action should be dismissed because the consensus among federal courts is that the NSA does not provide for a private right of action to enforce independent dispute resolution (IDR) payment determinations issued under the NSA, and Plaintiff

	cannot circumvent that lack of a private right via state law claims. While Defendant is correct that the consensus among courts is the NSA does not provide for a private right of action, Plaintiff is not bringing a claim directly under the NSA. Plaintiff is bringing state law claims seeking reimbursement for the medical care he provided to Defendant’s insureds. (See, e.g., FAC ¶¶ 36, 37, 47, 48, 56.) Plaintiff does not appear to be merely seeking enforcement of the IDR award. Defendant cites to several federal district court and circuit-court decisions to support its argument that the absence of a private right of action under the NSA bars Plaintiff’s state law claims. (See Demurrer at p. 11-13.) However, some of these decisions do not address the NSA at all. (See, e.g., <i>Sagebrush Health Servs. v. Amgen Inc.</i> (C.D. Cal. Apr. 15, 2026) 2026 WL 1030817; <i>Anthony v. Navient Corp.</i> (C.D. Cal. Apr. 25, 2025) 2025 WL 1674423; <i>Lil’ Man in the Boat, Inc. v. City & Cty. of San Francisco</i> (N.D. Cal. Sep. 4, 2018) 2018 WL 4207260; <i>Bauer v. Elrich</i> (4th Cir. 2021) 8 F.4th 291.) Furthermore, decisions of the lower federal courts are not binding on state courts. (<i>Fair v. BNSF Railway Co.</i> (2015) 238 Cal.App.4th 269, 287; <i>Markow v. Rosner</i> (2016) 3 Cal.App.5th 1027, 1043 n.8.) Defendant has thus offered no binding authority holding the NSA bars medical providers from bringing state law claims against the patient’s insurer. It is noted that although <i>SpecialtyCare Inc. v. Meritain Health, Inc.</i> (D. Del. Feb. 9, 2026) 2026 WL 353259, cited by Defendant, did hold that the plaintiff’s state law claims were barred by the NSA, another federal district court has suggested that the NSA does not bar medical providers from bringing state-law claims against the patient’s
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insurer. (See *Kennedy v. UnitedHealth Grp. Inc.* (S.D.N.Y. June 20, 2025) 2025 WL 1725147 at *8.)

The demurrer on this ground is **OVERRULED**.

Defendant also argues each of Plaintiff's claims independently fails to state a cause of action, as discussed below.

First Cause of Action (Cal. Bus. & Prof. Code § 17200)

Defendant contends the doctrine of implied preemption "bars claims seeking to enforce an exclusively federal requirement that is not grounded in traditional state tort law." (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 10-11.)

Here, Plaintiff's UCL claim is based on allegations that Defendant violated the NSA by failing to pay the IDR arbitration award. (See FAC ¶ 31; Opp. at p. 6:4-7.) Thus, Defendant appears correct that the UCL claim is based on an exclusively federal requirement under the NSA. Plaintiff failed to address Defendant's implied preemption argument and thus failed to rebut Defendant's contention that implied preemption bars the UCL claim.

The demurrer to the first cause of action on this ground is **SUSTAINED with 20 days leave to amend**.

Second, Third, Fourth and Fifth Causes of Action (Quantum Meruit, Unjust Enrichment, Common Count-Goods and Services Rendered, Common Counts-Money Had and Received)

In the Opposition, Plaintiff failed to address the demurrer as to these causes of action and thus impliedly conceded the demurrer's merit. (See

Herzberg v. County of Plumas (2005) 133 Cal.App.4th 1, 20.)

The demurrer to the second, third, fourth and fifth causes of action is thus **SUSTAINED with 20 days leave to amend.**

Sixth and Seventh Causes of Action (Breach of Implied-in-Fact Contract and Promissory Estoppel)

Defendant is correct the sixth and seventh causes of action fail to allege facts showing the essential element of consideration. “A promise is not enforceable unless consideration was given in exchange for the promise,” and “[a] promise to perform a preexisting legal duty is not supported by consideration.” (*US Ecology v. State of California* (2001) 92 Cal.App.4th 113, 128; see also, *San Luis Obispo Local Agency Formation Com. v. City of Pismo Beach* (2021) 61 Cal.App.5th 595, 600 [“A contract requires consideration.”].)

The demurrer to the sixth and seventh causes of action is **SUSTAINED with 20 days leave to amend.**

The CMC is continued to 11/6/26 at 8:45am.

Defendant shall give notice.